6. Intangible Assets

They are long-term resources of an entity, but have no physical existence. They derive their value from intellectual or legal rights, and from the value they add to the other assets.

LEGAL DECISIONS

Case Study: The duty of the auditor with regard to the verification of assets came before the court in the famous case of:

The London Oil Storage Co. Ltd.

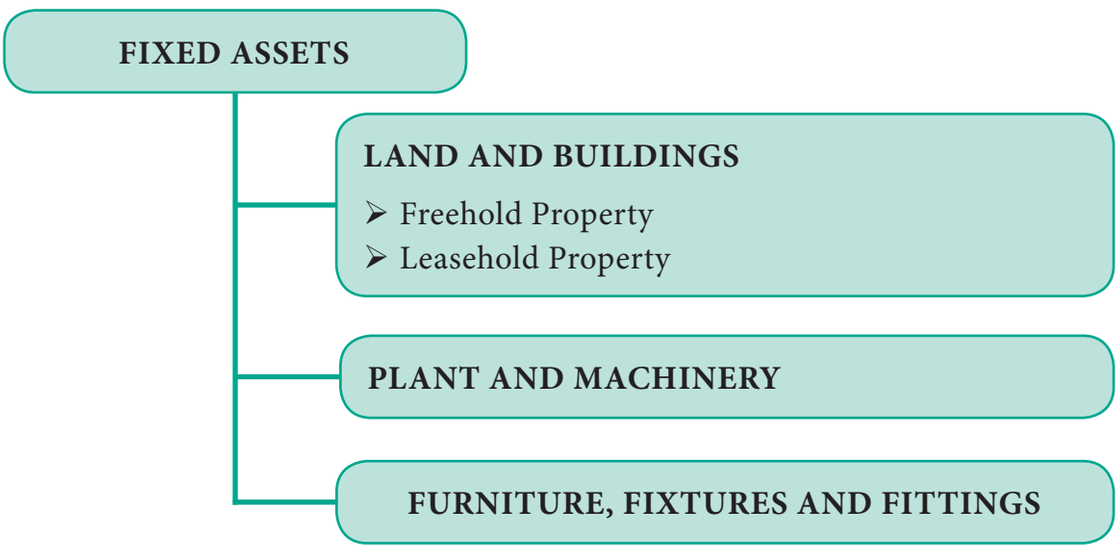
Vs.

Seear Hasluck and Co. (1904)

It was then held that it is the duty of the auditor to verify the existence of assets stated in the balance sheet; and that he (Auditor) will be liable for any damage suffered by the client if he fails in his duty.

4.4 Verification and Valuation of Fixed Assets

Fixed assets are a permanent nature with which the business is carried on and which are held for earning income and not for re-sale in the ordinary course of the business. It is a long-term tangible property that a firm owns and uses in its operations to generate income. Fixed assets are not converted into cash or consumed within a year. They are also called as Capital Assets. Example: land and buildings, plant and machinery, furniture etc. These assets are to be valued at cost price less total depreciation in their value by constant use. Additions by way of purchase and deletions by way of sales should be taken into account.The mode of valuation of different types of assets differs depending upon the nature of the business and the purpose for which the assets are held. Verification of Fixed Assets can be explained as follows:



Chapter_04.indd 50 12/23/2019 3:44:02 PM